Prologue

‘I HAVE LOST MY BRANCH MANAGER. Please help me find him.’ These remarks were addressed by Raj Kumar Talwar, the Chairman of the SBI to Professor Ishwar Dayal of the Indian Institute of Management, Ahmedabad (IIMA), more than four decades ago. Talwar, by common consent, was the most able Chairman SBI has ever had; and the need which occasioned that conversation was the vast proliferation of branches and offices which had made the organizational structure unwieldy and ineffective. Though some new departments and sections had been added to handle the extra workload, the organizational machinery and extant practices were still very much a legacy of the Imperial Bank. With these few words Talwar highlighted in a simple but telling manner the administrative remoteness of the bank’s branches. The crucial need at the time was effective communication between the senior managers and the outlying field units in a vast and ever expanding organization.

The rapid expansion of branches had necessitated the induction of a large number of junior officers as branch agents. These agents were widely dispersed across the country and were virtually cut off from the head-office. This resulted in problems of control and supervision and the complete absence of any kind of mentoring by the head-office. Little wonder then that Talwar had first voiced the sentiment of losing his branch manager at a senior management conference in the late 1960s. Less than a year after he took over as Chairman in March 1969, he decided to do something about it and called in consultants from IIMA in 1970 to help find his ‘Branch Manager’. While the reorganization of the bank was arguably the biggest